



Contemporary · quantitative investment researcher and author.

"Most backtests are false discoveries."

THE WHY THAT DROVE THE WORK

López de Prado warns that applying machine learning naïvely to finance produces false discoveries — strategies that look brilliant in backtests and fail in reality.

INTELLECTUAL FOUNDATION

From a career in quantitative asset management, he developed methods to apply machine learning to finance rigorously and to detect overfitting.

FRAMEWORKS ANCHORED IN THIS COURSE

He anchors the Backtesting Pitfalls Map in Unit 6's prediction-and-risk Slibrary.

HOW THE IDEAS OPERATIONALISE

His work operationalises as treating a spectacular backtest as a hypothesis to be stress-tested, with explicit corrections for multiple testing and overfitting.

LIMITATIONS & CRITIQUE

His methods are technically demanding and assume resources and data that many practitioners lack.

ENDURING IMPACT

His work is a leading reference for the rigorous application of machine learning in investment management.

ON THE SAME PANEL (UNIT 6)

Harry Markowitz · Giant 24

Fischer Black & Robert Litterman · Giant 25

Eugene Fama & Kenneth French · Giant 26

Agrawal, Gans & Goldfarb · Giant 28

SOURCES (HARVARD REFERENCING STYLE)

López de Prado, M. (2018) *Advances in Financial Machine Learning*. Hoboken: Wiley.

Bailey, D.H. et al. (2014) 'Pseudo-mathematics and financial charlatanism', *Notices of the AMS*, 61(5).